IC103 Lecture 1: Key Takeaways

Introduction to Economics, Demand, Supply and Market Equilibrium

1. What is Economics?

- **Economics** studies how people, firms and governments make choices.
- **Choices** are made under **scarcity**: resources are limited, wants are unlimited.
- **Markets** help allocate scarce resources.



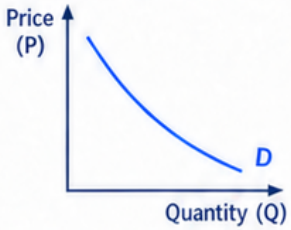
SCARCITY
Resources are limited, wants are unlimited.

2. Four Core Economic Ideas

1. People face **trade-offs.**
2. Every choice has an **opportunity cost.**
3. Good decisions compare **marginal benefit and marginal cost.**
4. People respond to incentives.

3. Demand

- **Law of demand**: when price rises, quantity demanded falls.
- A change in price causes a movement along the demand curve.



What shifts demand?

- Income
- Prices of related goods (substitutes and complements)
- Tastes/preferences
- Expectations
- Number of consumers

A demand increase shifts the curve right.

4. Supply

- **Law of supply**: when price rises, quantity supplied rises.
- A change in price causes a movement along the supply curve.

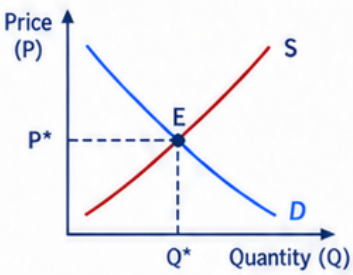


What shifts supply?

- Input/production costs
- Technology
- Government policy (taxes/subsidies)
- Expectations
- Number of sellers

A supply increase shifts the curve right.

5. Market Equilibrium



- Equilibrium occurs where quantity demanded = quantity supplied.
- Equilibrium price = market-clearing price.
- Equilibrium quantity = quantity bought and sold at that price.

Shortage: Qd > Qs
→ upward pressure on price

Surplus: Qs > Qd
→ downward pressure on price

6. Remember the Difference

Movement along a curve	Shift of a curve
Caused by a change in the good's own price.	Caused by non-price factors.
Changes quantity demanded or quantity supplied.	Changes demand or supply.

Key message: Price changes cause movements along curves. Non-price factors cause shifts of curves.

Quick Revision Checklist

- ☐ Define scarcity.
- ☐ Explain demand and supply.
- ☐ Distinguish movement from shift.
- ☐ Explain equilibrium, shortage and surplus.
- ☐ Use simple graphs correctly.